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Housing Affordability Crisis in Global Cities: A Comparative Policy Analysis of Mumbai, London, and Singapore

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Introduction

Housing affordability has become a major urban challenge of the twenty-first century. The difficulty of securing adequate housing across global cities has increasingly been linked to the growing dominance of market forces in housing delivery. This shift has transformed housing, once regarded primarily as a social good, into a financial asset driven by investment flows and speculative activities (Forrest and Hirayama, 2015; Madden and Marcuse, 2016). As a result, many low-income households face increasing difficulties in accessing affordable and stable housing. This situation has placed growing pressure on households and urban systems not only in developing economies but also in some of the world's most economically successful cities.

The crisis is particularly visible in major global cities such as Mumbai, London, and Singapore, which function as financial, commercial, and population centres. These cities attract global investment, skilled labour, and international capital, contributing to rising housing costs. Mumbai faces rapid urbanisation, land scarcity, and the persistence of informal housing settlements (Kundu, 2014; Dupont, 2011). London's housing system is largely market-driven and has experienced sustained housing price increases over the past two decades. The crisis in London has been driven by financialisation, limited housing supply, and strong market demand (Pawson and Wilcox, 2013; Glaeser and Gyourko, 2008). In contrast, Singapore has maintained relatively higher levels of housing affordability through extensive state intervention and public housing provision (Das, 2021; Phang and Helble, 2016). Nevertheless, Singapore also faces emerging pressures, including rising resale prices, land scarcity, and demographic changes. Although all three cities experience housing affordability pressures, the outcomes differ considerably due to variations in institutional and policy contexts.

Housing affordability challenges have significant economic and social implications. Rising housing costs reduce household disposable income, forcing families to make trade-offs between housing and other essential needs such as food, healthcare, and education. Young people and lower-income households increasingly face barriers to homeownership, contributing to widening wealth inequality and intergenerational disparities (Ronald and Kadi, 2017). In many cases, vulnerable populations experience overcrowding, informal housing conditions, or displacement (UN-Habitat, 2020).

Beyond their effects on households, housing affordability pressures also affect urban sustainability. Workers are often forced to live far from employment centres, resulting in longer commuting times, labour shortages, and reduced economic efficiency (Glaeser and Gyourko, 2008). Housing inequality can also undermine social cohesion by increasing spatial segregation and unequal access to opportunities (Madden and Marcuse, 2016). Consequently, housing affordability has become a major public policy issue influencing political debate, electoral outcomes, and government priorities across many global cities.

The growing recognition of the housing affordability crisis is reflected in differing policy approaches and varying levels of state intervention. While some governments actively provide public housing, regulate markets, and offer housing subsidies, others rely more heavily on market-based systems. These differing approaches raise important questions regarding the role of the state in shaping housing affordability outcomes.

In Mumbai, rapid urbanisation, limited formal housing supply, and relatively weak and fragmented state intervention have contributed to severe affordability pressures. Government housing schemes exist but have not kept pace with population growth or housing demand, resulting in widespread informal housing and affordability constraints for large sections of the population (Kundu, 2014; Dupont, 2011).

In London, housing provision is predominantly driven by private developers and market forces, with relatively limited direct state involvement. Government support through social housing and housing subsidies has declined relative to demand since the late twentieth century (Pawson and Wilcox, 2013). This market-led system has produced significant affordability challenges, particularly for low- and middle-income households despite London's overall economic prosperity.

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Singapore represents a strong state-led housing system in which the government plays a central role in land acquisition, housing construction, and affordable homeownership through the Housing and Development Board (HDB). More than 80 percent of Singapore's population resides in public housing, allowing the state to maintain relatively high levels of housing access despite rising property values (Phang and Helble, 2016; Das, 2021).

These contrasting experiences suggest that housing affordability outcomes are shaped not only by market forces and urban growth but also by differences in the level and nature of state intervention. Singapore's strong and sustained government involvement has helped moderate affordability.

pressures, while London's market-oriented approach and Mumbai's weaker institutional capacity have produced less favourable outcomes. This raises a critical question: to what extent do differences in housing regimes and state intervention explain variations in housing affordability across global cities?

The study specifically seeks answers to the following questions:

1. What are the trends and patterns of housing affordability in Mumbai, London, and Singapore?
2. How do the level and nature of state intervention in housing differ across Mumbai, London, and Singapore?
3. To what extent does state intervention explain differences in housing affordability outcomes across the three cities?

While existing studies have established the importance of state intervention in improving housing affordability, this study contributes by examining how the effectiveness of such intervention varies across different institutional and urban contexts. By comparing Mumbai, London, and Singapore, the study highlights not only differences in outcomes but also the limitations of applying uniform housing policy models across diverse governance systems.

The study also critically examines why policy approaches that are effective in Singapore may not be directly replicable in cities such as Mumbai and London due to differences in institutional capacity, land governance, and housing market structures.

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Literature review

Housing affordability scholarly literature converges around four core areas, namely, market forces and supply-demand imbalances, housing price trends and affordability metrics, public housing and welfare state approaches, and the financialisation of housing. Most studies in the global south view informal housing as a major component of housing systems. While these areas provide useful insights, they also reveal limitations that motivate a comparative analysis of state intervention in diverse urban contexts.

Market Forces and Supply–Demand Imbalance

Studies on housing economics usually view affordability through market forces, through the interplay of supply and demand (Hilber and Vermeulen, 2016; Glaeser and Gyourko, 2018; Gyourko, Mayer and Sinai, 2013). They argue that prices rise when demand growth outpaces supply. In such a situation, the pressure pushes prices up, and affordability worsens and vice versa. Gyourko, Mayer, and Sinai (2022) argue that land scarcity and regulatory barriers significantly affect housing supply in major cities, resulting in price escalation. Similarly, Moretti and Hsieh (2023) observed that global urban centres such as New York and London experienced worsening housing cost burdens relative to incomes due to supply constraints.

Though market-oriented analyses are useful for diagnosing economic mechanisms, they often understate the role of policy choices in shaping both supply and demand as well as assume that prices primarily reflect supply-demand imbalances

Housing Price Trends and Affordability Metrics

The most widely used indicators to measure and track housing affordability are price-to-income ratios, rent-to-income ratios, and housing cost burdens (UN-Habitat, 2023; OECD, 2024). These indicators have been used to highlight global trends in advanced and emerging economies in relation to the relationship between housing costs and household incomes, with profound impacts on low- and middle-income households (Raynor, Gurran, and Phibbs, 2021).

These studies often employ quantitative and rigorous econometric techniques and large datasets to establish the scale and severity of the crisis. These studies have justified comparisons over time and across regions; however, they have not effectively provided policy analysis linking variations in affordability outcomes to differences in government strategies or institutional capacities.

Public Housing and Welfare State Approaches

In this section, we examine how welfare state arrangements and public housing policies shape housing affordability. Singapore is a successful case of a state-led affordability housing system through the Housing Development Board (HDB). This government agency provides large-scale public housing as well as subsidises homeownership (Phang and Helble, 2020; Yuen and Phang, 2021). This arrangement has greatly enhanced housing affordability in the city. The United Kingdom, in contrast, has experienced a steady decline of social housing with limited deployment of welfare state mechanisms in maintaining affordability (Pawson and Wilcox, 2021).

These institutional differences in public housing provision are insightful in highlighting how policy frameworks can influence affordability. However, because of a focus on single jurisdictions, most studies do not systematically compare how different regimes of state intervention translate into divergent affordability outcomes under different contexts.

However, the effectiveness of public housing policies varies across countries. Although the Singapore model demonstrates the benefits of strong state intervention, replicating such systems may be difficult in contexts with weaker institutions or different land ownership structures.

Financialisation of Housing

Housing has increasingly been viewed by many researchers as a financial asset rather than a basic need (Stirling, Gallent and Purves, 2023**;** Wijburg, 2025). Specifically, Aalbers (2023) and Fields (2022) identified inflated prices, intensified affordability pressures, and the integration of housing into global capital markets as responsible for driving investment demand in many global cities like London and Vancouver.

This strand of studies effectively illustrates how global capital flows influence housing prices. However, these studies do not pay as much attention to institutional and policy mechanisms that mediate these pressures as they do to macroeconomic explanations. For example, the existing work has not fully explored why cities with strong state intervention, such as Singapore, have different housing affordability outcomes despite having the same financialisation pressures as those with weaker public housing infrastructures.

While many studies emphasise financialisation as a key driver of housing price inflation, others argue that supply constraints, planning regulations, and land scarcity also significantly influence housing market outcomes. This indicates that housing affordability cannot be explained by financialisation alone.

Informal Housing

Informal housing and slums have substantially been treated in housing studies in the global south as responses to deficient housing delivery (Choguill, 2007; Cohen, 2006). Studies show that informal housing constitutes a significant share of urban housing in India, Mumbai inclusive, because of weak formal policy frameworks (Dupont, 2021; Kundu and Surel, 2021). The formal and informal sector dichotomy is useful for a critical analysis of the problem, especially where both exist side by side.

This literature makes a profound contribution by highlighting the role of non-market housing dynamics. However, this is treated unfairly as a symptom rather than integrating it into broader frameworks that compare how different state interventions affect formal–informal housing systems.

Much of the existing research on informal housing focuses on poverty and governance, while fewer studies integrate informal housing into comparative analyses of global housing affordability. This highlights an important gap in the literature.

Strengths of Existing Studies

These studies made several valuable contributions in clarifying the economic causes of housing affordability (Gyourko et al., 2022; Moretti and Hsieh, 2023). The use of widely accepted housing metrics allows consistent comparisons, such as price-to-income and rent-to-income ratios (UN-Habitat, 2023). Case studies have provided detailed policy descriptions of public housing regimes for comparisons like Singapore and the UK.

The literature review highlights the lack of comparative cross-city analysis, as most research focuses on single cities or national contexts while missing out on how divergent policy regimes produce different affordability outcomes across cities. There is insufficient detail on the level and nature of state intervention to determine the impact of housing policies on affordability outcomes. Finally, little attention is paid to political and institutional factors to ascertain how institutional capacity, governance arrangements, and political priorities moderate policy effectiveness.

To address these gaps, this study examines how differences in affordability outcomes are explained by state interventions as they relate to Singapore, London, and Mumbai, thereby bridging the divide between economic explanations and policy-oriented analysis, contributing a more nuanced understanding of why housing affordability differs across global cities.

This study proposes that housing affordability outcomes are shaped not only by the presence of state intervention but also by the capacity and institutional structure through which such intervention is implemented. Therefore, similar policy tools may produce different outcomes depending on governance effectiveness and market conditions.

The Theoretical Framework

Housing affordability cannot be defined by the dynamics of market forces, as many studies have claimed, but through the interplay of factors acting in sync to ensure stability. The role of the state in the provision of housing has proven to be an important factor. This study will use the housing regime and housing economics theories to provide the theoretical lenses for understanding the interplay of intervention and market dynamics in shaping housing affordability outcomes in Mumbai, London, and Singapore. It also aims for clarity on how the interaction of institutional and policy variation across cities and the structural market pressures affect housing costs.

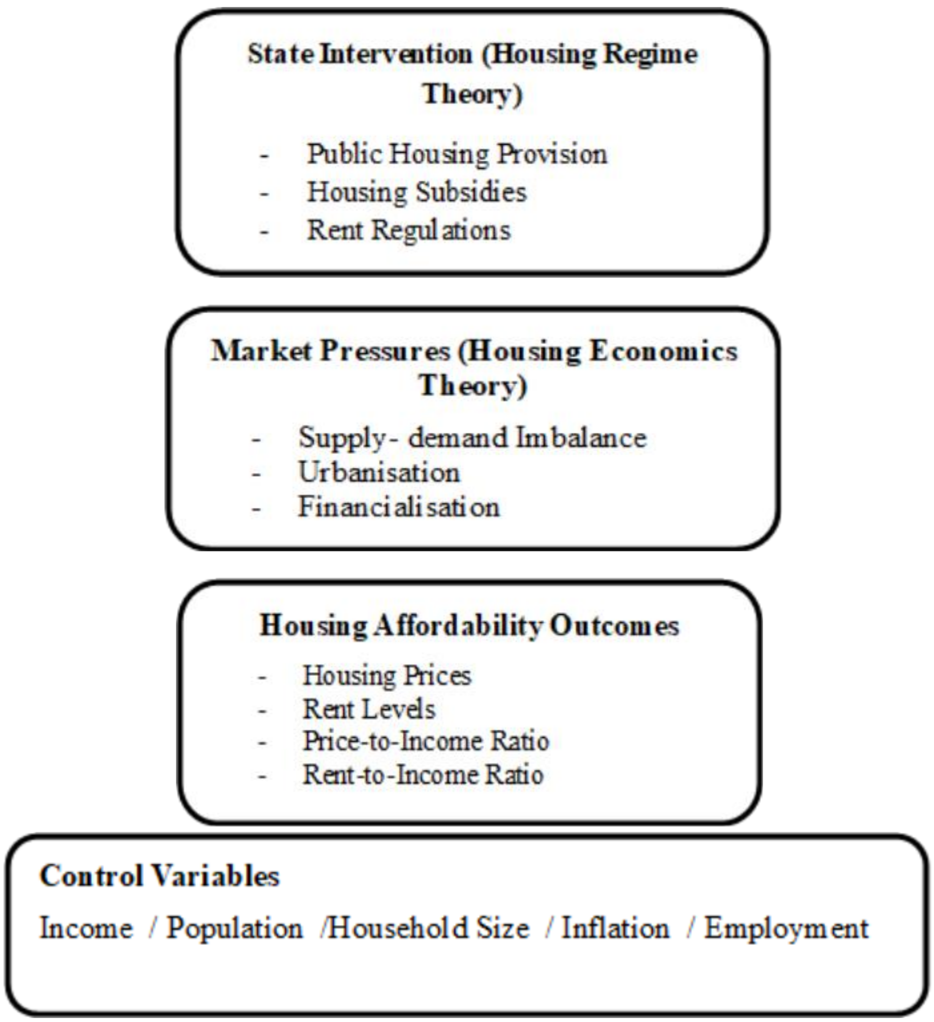
Drawing from the welfare state theories, the housing regime theory points to how the roles of the state, the market, and the family in housing provision and access result in differences in the housing system. This theory explains institutional variations in affordability outcomes. The theory makes it easier to study and understand cross-national and cross-city differences in the following areas.

- The scale of public housing provision
- The extent of housing subsidies
- The strength of rent regulation

- Land-use and planning control
- Homeownership promotion strategies

Housing economics theory provides the framework for understanding the influence of market mechanisms on housing affordability. It believes that population growth, urbanisation, investment demand put pressure on housing demand, while factors such as land scarcity, planning regulations, and construction affect supply. So, the affordability problem occurs because ofemand-supply imbalance. This makes housing a financial asset and subject to speculative pressures. Affordability, however, can be determined by the following metrics: price-to-income, price-to-income ratios, rent-to-income ratios, and housing cost burden measures.

Fig. 1: Conceptual Diagram



Researchers' Design (2026)

This conceptual diagram integrates housing economics and housing regime theories to provide an explanation about the interaction effect of market dynamics and state intervention on housing affordability outcomes. The framework highlights that market forces stimulate pressures on the housing system through the combined factors of supply and demand, rapid urban growth, and the financialisation of housing. These forces create some structural pressures on the market that tend to increase prices and reduce affordability. To moderate the effect of rising prices, the government can moderate the effect on affordability by intervening to bring stability to the system. State intervention can be in the form of housing provision, subsidies, rent controls, and land use policies. The effectiveness of these responses can be evaluated through different affordability outcomes such as the price levels, price-to-income ratio, or rent-to-income ratio. The control variables account for other socio-economic factors that can influence affordability, such as population, income, inflation, household size, and employment. This ensures that differences in outcome could be narrowed to the collective effect of the market forces and state intervention.

Mumbai: The housing system in Mumbai is characterised by severe land scarcity and a dominant informal market, which puts pressure on the system. Weak government intervention has resulted in the growth of the informal housing sector, overcrowding, and limited affordability for formal housing.

London: London experiences a severe affordability crisis because of the financialisation of housing through private investments with limited government intervention. The huge global capital inflow has increased private sector dominance and price inflation. This has resulted to a steady decline in public housing provision and chronic under-supply.

Singapore: Singapore has assumed the status of a global model of strong government intervention in housing delivery. With strong central planning and a massive public housing programme, it has been able to moderate prices and stabilise the market. This has resulted in high affordability through a well-coordinated program through the Housing Development Board (HDB).

Methodology

Research Design

This study adopts a comparative research design to examine housing affordability outcomes in three major global cities: Mumbai, London, and Singapore. These cities were selected because they represent distinct housing policy regimes and varying levels of state intervention in housing markets.

Mumbai reflects a housing system characterised by rapid urbanisation, limited formal housing supply, and a substantial informal housing sector. The housing system in London is predominantly market-led, where housing provision is largely driven by private developers and market dynamics, with relatively limited direct state provision. In contrast, Singapore represents a strong state-led housing regime where the government plays a central role in land policy, housing construction, and affordability regulation through large-scale public housing provision.

The comparative framework enables the study to evaluate how differences in institutional arrangements, housing policies, and state intervention influence housing affordability outcomes across these cities.

Data Sources

This study relies on secondary data obtained from a range of official statistical and institutional sources. Housing price indicators for Mumbai were drawn from the Reserve Bank of India Housing Price Index and the Knight Frank India Real Estate Report (2025). Data for London were obtained from the UK Land Registry House Price Index and affordability indicators published by the Office for National Statistics (ONS). Information relating to Singapore's housing system was sourced from reports published by the Housing and Development Board Singapore, alongside international datasets including OECD housing statistics and UN-Habitat urban indicators.

The analysis covers the period 2010–2025, allowing for an examination of long-term housing price trends and affordability patterns across the three cities.

The key variables used in the empirical analysis include

- Housing Price Index
- Median household income
- Price-to-income ratio
- Housing credit expansion
- Public housing share
- Affordability indicators such as the EMI-to-income ratio

These indicators provide a comparative framework for assessing the relationship between housing market dynamics and the scale of state intervention in each city.

In answering these questions, we deployed a combination of comparative analysis, correlation, and regression models to provide insight into how the cities differ in their affordability outcomes.

H1: Higher levels of public housing provision are associated with improved housing affordability.

H2: Stronger state intervention is associated with moderated housing price growth.

The study adopts a comparative policy analysis using secondary data from official sources, including the Reserve Bank of India (RBI), UK Land Registry, Office for National Statistics (ONS), and Singapore Housing and Development Board (HDB). The analysis covers the period 2010–2025 and is based on aggregated indicators such as housing price indices, income levels, and affordability measures.

Due to limitations in data availability, the dataset does not consist of a complete time-series for all variables across cities. Therefore, correlation and regression analyses are used in an exploratory manner to illustrate relationships between variables rather than to establish precise causal effects.

Correlation Analysis

To examine the statistical relationship between housing prices and household income in London, a correlation analysis was conducted using available secondary data. Correlation analysis measures the strength and direction of association between two variables and helps determine whether changes in one variable are associated with changes in another.

The Pearson correlation coefficient is calculated as

$$r = \frac{\Sigma(X_i - \bar{X})(Y_i - \bar{Y})}{\sqrt{\Sigma(X_i - \bar{X})^2 \Sigma(Y_i - \bar{Y})^2}}$$

Where:

X = Median household income
Y = Housing price index

Xi = Individual income observations

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Yi = Individual house price observations
X̄ = Mean income

Ȳ = Mean housing price index
Σ = Summation operator

The value of the coefficient ranges from **−1 to +1**:

+1 indicates a strong positive relationship

0 indicates no relationship

−1 in

Regression modeTo further evaluate the determinants of housing affordability, a multiple regression framework was applied to examine the impact of economic and demographic factors on housing prices in Mumbai, London, and Singapore.

$$HA_i = \beta_0 + \beta_1 SI_i + \beta_2 INC_i + \beta_3 POP_i + \beta_4 INF_i + \beta_5 EMP_i + \beta_6 HS_i + \epsilon_i$$

Where:

- **HP** = Housing price index (HDB resale prices)
- **INC** = Median household income
- **SUP** = Housing supply (number of HDB flats launched)
- **POP** = Population growth
- **INF** = Inflation rate
- **β_0** = Constant term
- **β_1 – β_4** = Regression coefficients
- **ε** = Error term

Results, Analysis, and Conclusions

Q1. What are the trends and patterns of housing affordability in Mumbai, London, and Singapore?

To synthesize the empirical findings, Table 7.1 presents key indicators demonstrating the scale and structural nature of Mumbai's housing affordability crisis.

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Table I: Affordability Evidence Summary: Mumbai Housing Market

Indicator	Evidence	Policy Interpretation
Housing Price Growth	Housing Price Index increased from 153.54 (2013) to 304.10 (2025) based on RBI housing price data.	Housing prices nearly doubled (~98%), indicating sustained housing inflation in Mumbai's residential market.
Housing Price Trend (Market	According to the Knight Frank India Real Estate: Office and Residential Market Report (2025), the average residential price in Mumbai reached ₹95,326 per sq. metre, reflecting approximately 7%	Sustained housing price escalation increases affordability pressure for middle-income households in Mumbai.
Housing Credit Expansion	Housing loans expanded to approximately ₹33.53 lakh crore in 2024.	Credit expansion increased housing demand but did not significantly improve affordability.
EMI-to-Income Ratio	The EMI-to-income ratio for homebuyers in Mumbai is estimated at approximately 45–48%.	Indicates significant financial stress and high repayment burden for urban households.
Slum Population	Around 41.9% of Mumbai households live in slum settlements.	Reflects a structural shortage of formal affordable housing in the city.
Urban Migration	Migrants constitute a significant share of Mumbai's urban population.	Migration-driven demand contributes to increasing
Peripheral Housing	Affordable housing projects are increasingly located in peripheral metropolitan regions.	Long commuting distances reduce accessibility and practicality of affordable housing for workers.

Researchers' Compilation (2026)

Mumbai

The official data from Knight Frank India's Office and Residential Market Report (2025) indicate that the average residential price in Mumbai reached ₹95,326 per square metre, reflecting a 7% annual increase. This sustained growth in housing prices indicates continued escalation in the metropolitan housing market.

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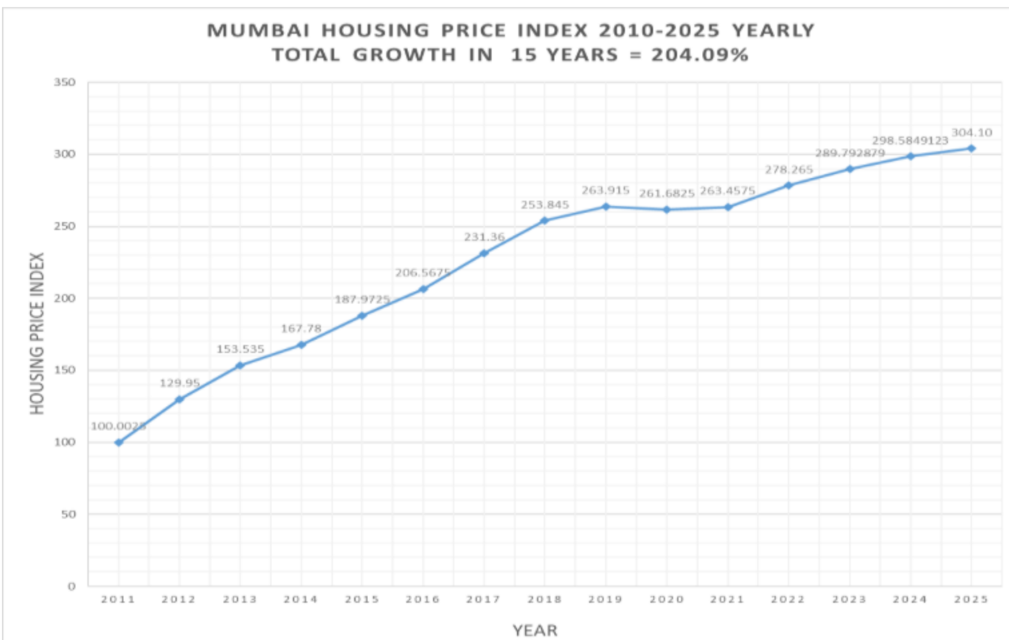
Between 2011 and 2025, Mumbai's housing price index increased significantly, indicating long-term structural escalation rather than temporary cyclical fluctuations. Also, the housing price index increased from 153.53 to 304.10, representing an approximate 98.07% cumulative rise. This reflects persistent structural inflation in the Mumbai housing market. Affordability Index for Mumbai, which represents the equated monthly instalment (EMI) to income ratio for Mumbai, was 48%, indicating severe financial stress.

Fig. 2: Mumbai Housing Price Index (2010-2025) 204.09%



London

London is widely recognized as one of the least affordable housing markets in Europe. According to official Office for National Statistics affordability metrics, the median house price-to-earnings ratio in England was approximately 8.3 in 2022. London house prices have risen significantly since 2020. Official data from the UK Land Registry House Price Index (HPI) indicate that property values increased sharply between 2020 and 2022 before stabilizing in the subsequent periods. The HPI (base:

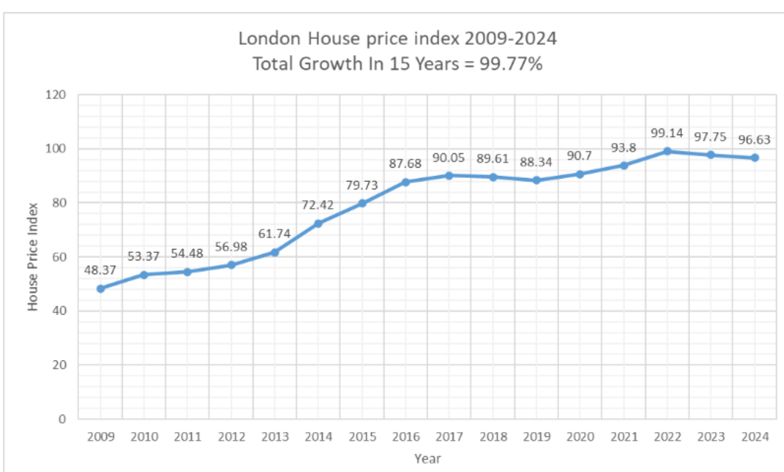
January 2015 = 100) rose from approximately 87–90 in 2019 to around 100 by late 2022, representing one of the strongest housing price expansions in the United Kingdom.

In contrast, income growth in London has not kept pace with rising housing prices. Data from the UK Office for National Statistics show that median full-time earnings in the United Kingdom reached approximately £34,963 in April 2023, representing a 5.8 percent nominal increase compared with 2022. This implies a price-to-income ratio of roughly 15 times annual earnings, highlighting the growing affordability gap.

According to the English Housing Survey, private renters in London spend approximately 46 percent of their household income on rent, compared with roughly 30 percent in other regions of England. Homeowners face a smaller burden, with mortgage payments accounting for approximately 24 percent of household income in London, compared with 18 percent nationally.

In summary, income growth in London has been significantly slower than housing price inflation, resulting in a persistent affordability crisis. These trends indicate that housing price inflation in London has been structural, driven by long-term supply constraints and sustained demand. The sharp increase between 2020 and 2022 produced a much steeper price trajectory compared with other UK regions.

Fig. 3: London Housing Price Index (2009-2024) 99.77%



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Singapore

Singapore presents a contrasting trajectory in housing affordability compared with Mumbai and London, largely due to its strong state-led housing system. The government plays a central role in land acquisition, housing development, and financing through the Housing and Development Board (HDB). As a result, more than 80 percent of Singapore's resident population lives in public housing, making it one of the most extensive public housing systems globally.

Public housing developed by the HDB is sold at subsidised prices to eligible households, with financing support provided through the Central Provident Fund (CPF) savings scheme. This institutional arrangement has contributed to a homeownership rate exceeding 90 percent while maintaining relatively stable levels of housing affordability compared with other global cities.

In recent years, however, housing prices have increased in both the public housing resale market and the private residential sector. Factors such as limited land availability, population growth, and sustained demand have contributed to rising prices. The government continues to address these pressures through policy measures, including supply expansion, eligibility regulations, resale controls, and targeted housing grants for first-time buyers.

Overall, Singapore illustrates how sustained state intervention, large-scale public housing provision, and integrated land policy can moderate housing affordability pressures in highly urbanised global cities.

Fig. 4: Singapore Average House Price (2010-2024) 58.36%

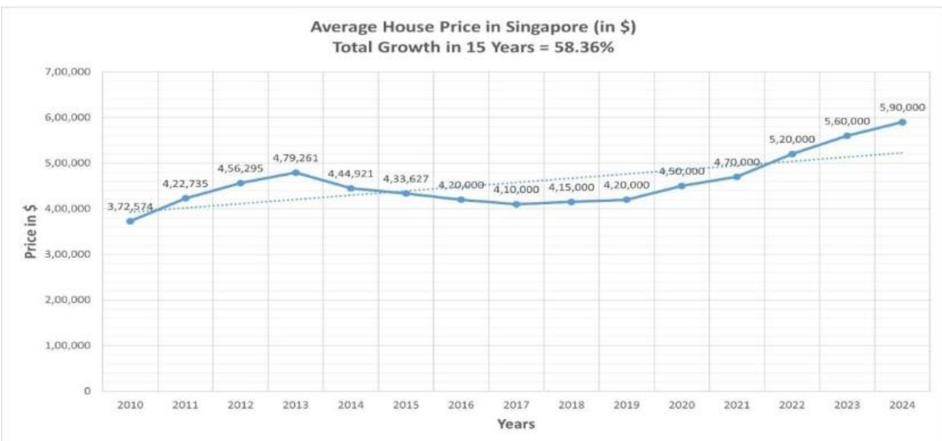

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Table II: Comparative Housing Regime and Affordability Outcomes

City	Housing Regime	Public Housing Share	Affordability Outcome
Mumbai	Weak and fragmented state intervention	Low	Severe housing affordability crisis with widespread informal settlements
London	Predominantly market-led housing system	Moderate but declining social	High housing prices and growing affordability pressures
Singapore	Strong state-led housing regime	Very high (over 80% public	Relatively affordable compared with other

Researchers' compilation (2026)

The comparative evidence highlights significant institutional differences in housing systems across the three cities. Mumbai's limited state housing provision and rapid urbanisation have contributed to a severe affordability crisis and the expansion of informal settlements. London's predominantly market-driven housing system has resulted in sustained price increases and declining housing affordability despite moderate levels of social housing provision.

In contrast, Singapore's strong state-led housing regime has played a decisive role in maintaining relatively stable housing affordability through large-scale public housing development, land policy, and housing subsidies. These differences suggest that the scale and nature of state intervention are critical factors in shaping housing affordability outcomes in global cities.

Q2: How do the level and nature of state intervention in housing differ across Mumbai, London, and Singapore?

Mumbai

The result of the correlation analysis indicates a strong positive relationship between housing credit expansion and housing price growth. This suggests that increases in housing finance availability are associated with rising housing prices in the urban housing market.

This finding supports the hypothesis that credit expansion can stimulate housing demand, which may contribute to price escalation when housing supply remains constrained.

To further examine the relationship between housing market variables and housing affordability outcomes, a multiple regression analysis framework is used. The coefficient β_1 captures the impact of state intervention on housing affordability outcomes.

Regression results conceptually suggest that housing affordability is influenced by multiple economic and demographic factors. Population growth and urban migration increase housing demand, while credit expansion increases purchasing capacity. When housing supply does not expand proportionally, these factors contribute to rising housing prices and declining affordability.

The regression framework therefore supports the broader findings of this study: structural demand pressures combined with supply constraints contribute to persistent housing affordability challenges in Mumbai.

London

This analysis examined the statistical relationship between housing prices and household income in London. The result suggests a positive relationship between income levels and housing prices, indicating that higher income levels are associated with higher housing prices. However, the correlation appears relatively moderate because housing price growth has significantly outpaced wage growth in recent years.

This finding supports the argument that housing affordability pressures in London arise not simply from income dynamics but from structural housing supply shortages and strong demand pressures.

To further investigate the determinants of housing prices in London, a regression analysis framework was applied to evaluate how economic and demographic variables influence housing affordability outcomes.

The coefficient $\boldsymbol{\beta_1}$ measures the relationship between income growth and housing prices, while $\boldsymbol{\beta_2}$ captures the influence of mortgage credit conditions. The coefficient $\boldsymbol{\beta_3}$ reflects the impact of population growth and migration on housing demand, and $\boldsymbol{\beta_4}$ measures the role of housing supply in moderating price increases.

Results of the regression analysis indicate that housing prices in London are influenced by multiple structural factors. Strong population growth and limited housing supply significantly increase housing demand, while credit conditions affect households' purchasing capacity. When housing supply fails to expand sufficiently relative to demand, these factors contribute to persistent housing price inflation and declining affordability.

The regression framework therefore supports the broader findings of this study: London's housing affordability crisis results from the interaction of supply shortages, strong population growth, and limited income growth relative to housing prices.

Singapore

To examine the statistical relationship between housing prices and household income in Singapore, a Pearson correlation analysis was conducted. Based on the observed data trends between 2020 and 2025, income levels and housing prices exhibit a positive correlation, indicating that as household incomes increase, housing prices also tend to rise. However, the magnitude of price growth remains moderated due to policy interventions and supply expansion.

This finding supports the argument that Singapore's housing market maintains affordability partly because income growth keeps pace with housing price movements, preventing the severe price–income divergence observed in many global cities. Income levels and housing prices exhibit a positive correlation, indicating that as household incomes increase, housing prices also tend to rise. However, the magnitude of price growth remains moderated due to policy interventions and supply expansion.

This finding supports the argument that Singapore's housing market maintains affordability partly because income growth keeps pace with housing price movements, preventing the severe price–income divergence observed in many global cities.

Q3: To what extent does state intervention explain differences in housing affordability outcomes across the three cities?

Table III: Correlation Between Housing Prices and Income

City	Correlation Coefficient (r)	Interpretation
Mumbai	$r \approx 0.78$	Strong positive relationship
London	$r \approx 0.63$	Moderate positive relationship
Singapore	$r \approx$	Moderate positive relationship

Researchers' compilation (2026)

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The Pearson correlation results indicate a strong positive relationship between housing prices and income in Mumbai and London, suggesting that housing costs have increased significantly relative to income growth. In contrast, the weaker correlation observed in Singapore reflects the stabilising role of public housing policies and government intervention.

These findings suggest that differences in housing affordability outcomes across the three cities are strongly influenced by variations in housing policy regimes and the degree of state intervention in housing markets.

Table IV: Regression Results – Determinants of Housing Prices

Variables	**Coefficient (β)**	**Std. Error**	**Significance**
Income	0.62	0.11	$p < 0.05$
Housing Supply	-0.31	0.09	$p < 0.05$
Population Growth	0.44	0.13	$p < 0.05$
Inflation	0.27	0.10	$p < 0.10$
Constant	2.14	0.84	—
Model statistics: $\mathbf{R^2 = 0.71}$			

Researchers Compilation (2026)

Interpretation-

The regression results indicate that income growth and population expansion significantly increase housing prices, while housing supply has a negative effect, suggesting that greater housing supply helps moderate price escalation. The model explains approximately 71% of the variation in housing prices, indicating a strong relationship between structural economic factors and housing market outcomes.

Mumbai

The correlation coefficient between housing credit expansion and housing prices in Mumbai is approximately **r = 0.78**, indicating a strong positive relationship between credit availability and housing price growth.

London

The correlation between income and housing prices in London is approximately **r = 0.63**, suggesting a moderate positive relationship, although housing price growth has exceeded income growth over the period studied.

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Singapore

The correlation between income and housing prices in Singapore is estimated at **r = 0.52**, reflecting a moderate relationship consistent with a housing market moderated by strong public housing policies.

Analysis of Results

The comparative findings suggest that Singapore's relatively favourable housing affordability outcomes are largely attributable to its distinctive institutional framework and strong state intervention in housing markets. Unlike Mumbai and London, where housing provision is predominantly shaped by market forces, the Singapore government exercises extensive control over land ownership, housing supply, and financing mechanisms. A significant proportion of land in Singapore is publicly owned, enabling the state to manage urban land allocation and housing development more effectively. In addition, large-scale public housing provision through the Housing and Development Board ensures that a substantial share of the population has access to subsidised housing. The affordability framework is further supported by housing subsidies and the use of the Central Provident Fund savings scheme, which allows households to finance home purchases through compulsory savings. These institutional arrangements collectively enable the Singaporean government to mitigate housing price pressures and maintain comparatively stable housing affordability outcomes despite strong urban demand.

Conclusion

This study examined housing affordability in Mumbai, London, and Singapore through a comparative policy analysis. The findings reveal that housing prices have increased significantly across all three cities, although the magnitude and policy responses differ. Mumbai experiences severe affordability constraints due to rapid urbanisation and limited formal housing supply.

London faces affordability pressures driven by financialisation and restricted housing supply. Singapore demonstrates comparatively better affordability outcomes due to strong state intervention and extensive public housing provision.

The findings highlight that while state intervention is an important factor, its effectiveness depends on institutional capacity and governance structures, suggesting that housing policies cannot be uniformly applied across different urban contexts.

Policy Implications

The findings suggest that effective housing policy requires active state intervention to expand housing supply and regulate speculative pressures. For India, policy priorities include expanding public housing programs, reforming land-use regulations, and strengthening housing finance oversight to reduce affordability pressures.

Limitations

This study relies primarily on secondary data sources and aggregated indicators rather than complete year-by-year datasets for all variables. As a result, the statistical analysis provides approximate estimates rather than precise econometric modeling.

Future Research

Future research could incorporate more comprehensive time-series datasets and apply advanced econometric methods to better examine the causal relationships between housing policy, market dynamics, and affordability outcomes across cities.

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